

A Panorama of Stressed Asset Industry in Indian Context

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ABSTRACT

In recent years, financial frauds have regularly been reported in India. There is no definition of fraud in RBI guidelines. However, it is suggested in the context of electronic banking in the Report of RBI Working Group on Information Security, Electronic Banking, Technology Risk Management and Cyber Frauds as, “A deliberate act of omission or commission by any person, carried out in the course of banking transaction or in the books of accounts maintained manually or under computer system in banks, resulting into wrongful gain to any person for a temporary period or otherwise, with or without any monetary loss to the bank”. Frauds in banks, which are engaged in financial activities, negatively affect the working of market, payment systems and it majorly increases distrust on the part of citizens for any financial institutions.

Frauds in banking sector indirectly increases NPA levels and stressed asset numbers. HEALTH CODE system introduced in 1965, involving classification of advances into 8 categories still existed in the country. Government of India and RBI has continuously issuing variety of guidelines, master circulars, provisions, legal and criminal legislations to fight NPA, bad loans, stressed assets, frauds, etc. However, need arises to introduce new rules to improve the prospects of recovery of loans. In recent past, the RBI has taken various regulatory measures to strengthen the lender’s ability to deal with stressed asset such as framework for revitalising distressed asset, flexible structuring of project loans, strategic debt restructuring scheme, scheme for sustainable structuring of stressed asset, etc. However, now RBI has abolished all such past-outdated structures and new Framework for Resolution of Stressed Assets is established to take strict control on banks fraudulent regulations.

However, referring to the Economic Survey’s GDP growth projection of 7-7.5% in 2018-19 and the Finance Minister’s Budget speech wherein he said the country is now firmly on course to achieve high growth rate of 8% plus, bankers says these projections will become reality only if banks support the infrastructure sector. For this, the regulator needs to be little flexible in its guidelines.

The study is organised for such pros and cons prevailing in the banking system in recent environment. During the last financial years, while the volume of frauds has increased by 19.6% from 4,235 to 5,064 the value of loss incurred has increased by 72% from Rs. 9,750 Cr. to Rs. 16,770 Cr. Hence the issue of Stressed Asset is of greater magnitude and more significance than the most recent banking fraud, said by Governor of RBI. Its magnitude is larger than 8.5 lakh Cr. of Stressed Assets on bank balance sheets and its significance stems from several practices in promoter-bank credit relationship that need immediate attention.

The study is secondary in nature and shows various provisions and measures by government and banks and RBI for resolution of stressed assets and the considerable loopholes resulting into various frauds in banking sector. The reason behind taking 2013 onwards data is the major changes during this period including BASEL III norms.

Keywords: NPAs, Restructured Loans, Stressed Asset, RBI, Resolution Plans, Banking Frauds.

INTRODUCTION

Banking sector is the most important sector for the growth and development of economy of every country. In India, banks have two main categories. (a) Scheduled Commercial Banks (b) Scheduled Co-operative Banks. Scheduled Commercial Banks includes (a) Nationalised Banks eg. SBI, IOB; (b) Development Banks eg. NABARD, EXIM; (c) Regional Rural Banks such as Gramin Bank; (d) Foreign Banks eg. CITI Bank; (e) Private Sector Bank eg. ICICI, Axis. Scheduled Co-operative Banks include Scheduled State Co-operative Bank and Scheduled Urban Co-operative Bank. According to Sec 5(b) of Banking Regulation Act, 1949, “Banking” means, the accepting, for the purpose of lending or investment, of deposits of money from the public, repayable on demand or otherwise, and withdrawal by cheque, draft, order or otherwise. Bank deposits are obligation to banks by using which banks can finance assets such as loans to individual or businesses. Loans are major source of revenue for the banks, hence, considered as Assets.

ASSET

In financial accounting, an asset is a resource with economic value that an individual, corporation or country owns or controlled with the expectation that it will provide future benefits. ¹As per suggestions given by Committee under the Chairmanship of Shri A. Ghosh, Deputy Governor, RBI, Schedule III Form A of Balance Sheet of Banking Regulation Act, 1949 classifies Assets as:

- Cash and balance with RBI = Sch 6
- Balance with banks and money at call and short notice = Sch 7
- Investments = Sch 8
- Advances = Sch 9
- Fixed Assets = Sch 10
- Other Assets = Sch 11

There are only 1 to 16 schedules prescribed by the Act for Balance Sheet and Profit and Loss Account. But banks may prepare schedule 17 for Notes of Accounts and Schedule 18 for Disclosure of Accounting Policies. Schedule 17 consists of many items including percentage of net NPAs to net advances, movement of NPAs and amount of provisions made towards NPA, toward depreciation in the value of investments and the provisions towards tax during the year, maturity pattern of loans and advances, etc. The meaning of word “Asset” is special and something which is important. Hence, important item need to be handled with that importance only. In terms of banking, loan is a main asset. A loan is a debt provided by an entity (organisation or individual) to another entity at an interest rate, and evidenced by a promissory note which specifies, among other things, the principle amount of money borrowed, the interest rate the lender is charging, and date of repayment. There is difference between loan and credit. Credit means bank grants loan to someone who have ability to borrow while loan is actually the act of providing the debt.

¹ Banking Regulation Act, 1949

As per RBI data on Sectoral Deployment of Bank Credit² collected from 41 scheduled commercial banks which cover about 90 % of total non-food credit extended by all scheduled commercial banks, non food credit increased by 10 % in Dec 2017 as compared to increase of 4% in Dec 2016. Credit to agriculture and allied activities increased by 9.5 % in Dec 2017 as compared to increase of 8.2% in Dec 2016. Credit to infrastructure industry, petroleum, coal products & nuclear fuels, basic metal & metal products, mining & quarrying are all declined while credit to textiles, chemical & chemical products, all engineering, food processing and construction are all accelerated. Credit to service sector increased by 14.7% in Dec 2017 from 8.3% in Dec 2016. Personal loans also increased by 18.9 % in Dec 2017 as compared to increase of 13.5% in Dec 2016.

Table 1 : Annual Growth Rate of Scheduled Commercial Banks as per ³RBI Statistics.

IMPORTANT INDICATORS (in %)	DEC 2017		SEP 2017		JUN 2017	
	B/C	A/D	B/C	A/D	B/C	A/D
All Scheduled Commercial Banks	10.7	4.1	6.5	8.2	8.0	12.6
1) Population Group wise						
Rural	11.5	3.3	6.5	17.0	12.3	20.5
Semi-urban	18.9	3.7	11.2	16.2	12.6	19.7
Urban	17.6	5.4	9.8	12.4	11.6	16.6
Metropolitan	7.7	3.9	4.9	2.8	5.9	7.7
2) Bank Group wise						
Public Sector	6.0	0.9	2.1	6.9	4.4	11.1
Foreign	-2.1	8.4	-2.1	-7.6	-8.5	-1.4
Regional Rural	12.2	1.6	7.2	14.6	11.3	17.3
Private sector	23.6	13.5	19.0	14.6	20.3	19.7
Credit-Deposit Ratio	75.1		73.3		72.8	
B/C – Bank Credit, A/D- Aggregate Deposit						
Here Bank credit is loans & advances and includes all types of credit facilities such as (a) cash credit, overdrafts, demand loans, term loans (b) bills discounted/purchased and factored receivables.						

This loan growth actually indicates improvement in industrial output. ⁴“While the loan growth is showing early signs of revival, provisions for bad loans will continue to weigh on profit growth in coming quarters” said by Asutosh Kumar Mishra, a Mumbai-based banking analyst at Reliance Securities Ltd. on which news published by The Economic Times. It reveals that SBI Chairman Rajnish Kumar said in conference call with reporters that most of the accounts identified by RBI in its risk assessment were already on the stressed asset list. Recently SBI admitted that RBI audit of its book for the F. Y. 2016-17 led to the addition of Rs. 23,239 Cr. in its bad loans, these are basically the divergence of NPA classification,

² https://rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=43013

³ <https://rbi.org.in/Scripts/QuarterlyPublications.aspx?head=Quarterly%20Statistics%20on%20Deposits%20and%20Credit%20of%20Scheduled%20Commercial%20Banks>

⁴ <https://economictimes.indiatimes.com/industry/banking/finance/banking/3-6-billion-in-hidden-bad-loans-spotlight-indian-banking-stress/articleshow/62879126.cms>

where one bank classified an account as stressed or NPA, but, others continued to show them as standard.

STRESSED ASSET

Banks are vital part of any society or country. As ⁵KEYNES said money is that by which debts, contracts are discharged and in the shape of which a store of general purchasing power is held. Maintenance and flow of money are important for the satisfaction of wants of people of society or country. Banks exactly do this, to create platform for such utilities. Robust legal and recovery framework and an effective credit information system can play a critical role in ensuring that the asset quality of banks remains healthy. So now here we will go for Stressed Asset, which is actually a powerful indicator of the health of the banking system.

In simple words Stressed Asset = NPAs + Restructured Loans + Written off Assets.

WRITTEN OFF ASSETS

As per accounting concept, write off simply means an elimination of an item from the books of account. Many times it is confused with the word written down. But there is reduction in the value of an impaired asset called as written down, where the asset existed in the balance sheet at reduced value, while, in case of write off the asset is generally completely removed from the balance sheet. According to the concept of income tax, in case of client's bankruptcy the debt which is uncollectible considered as loss in the books of accounts can be write off on income tax return. ⁶Such deduction is an itemized deduction of an item's value from person's taxable income.

In banking system, the loans that cannot be collected or are unreasonably difficult to collect, which badly affects bank's financial statements can be written off. ⁷Bank use such write offs, sometimes called as "charge - offs", to remove loans from their balance sheets and reduce their overall tax liability. Debt write offs are generally carried out against accumulated provisions made for such loans. Once recovered, the provisions made for those loans flow back into the profit and loss account of banks.

As per Ministry of Finance, write offs are generally done within the framework of Income Tax Act, 1961 and RBI guidelines regarding provisions for bad loans as per Standard Accounting Practices. – *(this clarification is on article published in Indian Express on Feb 9, 2016, under the headline "Rs. 1.14 lakh crore of bad debts: the great government bank write offs". Here RBI also clarifies that technically written off accounts continued for recovery as usual.)*

⁵ John Maynard Keynes was a famous British economist whose ideas fundamentally changed the theory and practice of macroeconomics and the economic policies of governments.

⁶ <https://en.wikipedia.org/wiki/Write-off>

⁷ <https://www.investopedia.com/ask/answers/070815/why-do-banks-write-bad-debt.asp>

But there is another article on Dec 4, 2017, published in Indian Express through RTI Act. As per ⁸Report published according to data compiled by credit rating agency ⁹ICRA, Indian State-Owned banks have written off loans worth Rs. 55,356 Cr. in the 1st six months of fiscal 2017-18. As per RBI, writing off of NPA or bad loans is a regular practice of banks to clean up their balance sheets. Substantial portion of this write off, however, technical in nature and intended of achieving taxation efficiency. “Technically written off” simply states that loans are written off from the books at the Head Office (*as per RBI guidelines, banks may write off loans at head office level, even though relative advances are still outstanding in the branch books. However, necessary provision is made as per the classification accorded to the respective accounts. If it is a loss asset, 100% provision will have to be made therefor.*), without foregoing the right to recovery. The obtained figures from RBI shows that banks had written off Rs. 2,28,253 Cr. in nine years – from fiscal 2007-08 to 2015-16. Similarly as per ICRA data such write offs are Rs. 1,32,659 Cr. in 2016-17 and 1st six months of 2017-18.

M Narendra, former chairman and MD of Indian Overseas Bank said that written off is just technical book entry and banks are not giving up those assets but will continue with various recovery methods. However, Former RBI official opined that “technical write offs creates non-transparency, destroys the credit risk management system and brings all types of wrongdoings into the system. There must be a policy. Banks have written off ¹⁰Vijay Mallya’s loan. Then how are they going to recover that money? If there’s asset, why are you writing it off?”

Table 2 : Annual Amount of Loan Written Off by the Banks since last 10 years as per Information from RBI through RTI Act.

LOAN WRITE OFFS IN LAST 10 YEARS (in Cr.)				
YEAR	AMOUNT	YEAR	AMOUNT	**the source is RBI - as per Indian Express, the data given by central bank is only up to 2015-16. And the another data is the result of compilation of ICRA.
2007-08	8,019	2012-13	27,231	
2008-09	7,461	2013-14	34,409	
2009-10	11,185	2014-15	49,018	
2010-11	17,794	2015-16	57,585	
2011-12	15,551	2016-17	77,123	
However, PSUs write off Rs. 55,356 Cr. in half year of 2017-18				
The total of these figures goes over Rs. 3,60,000 Cr.				

Recently, As per article published in ¹¹The Economic Times, Finance Minister Mr. Arun Jaitley said in the Rajya Sabha that the loans worth Rs. 81,683 Cr. were written off by public

⁸ <http://indianexpress.com/article/business/banking-and-finance/psu-banks-write-off-rs-55356-crore-in-six-months-bad-debt-4966594/>

⁹ ICRA Ltd. is an Indian independent and professional investment information and credit rating agency established in 1991.

¹⁰ Vijay Mallya is a beleaguered liquor baron, who had left the country to take refuge in the UK, owes Rs. 9000 Cr. to banks.

¹¹ <https://economictimes.indiatimes.com/news/economy/finance/public-sector-banks-wrote-off-rs-81683-crore-loans-in-fy17/articleshow/63187643.cms>

sector banks in 2016-17 including Rs. 20,339 Cr. by the State Bank of India. Similarly, Nationalised Banks was written off Rs. 28,781 Cr. up to Sep 2017.

RESTRUCTURED LOANS

Loan restructuring means the process of reorganisation of a company's outstanding debts by decreasing the rates paid and increasing the time for repayment. It can be said as a new loan that replaces the outstanding balance on an older loan paid over longer period with usually lower instalment amount. Restructuring usually occurs when borrower has a financial difficulty but lender wants to avoid a default. It is mainly confused with "Refinancing". But Debt Refinancing is a much broad term where borrower leverages a newly obtained loan with better terms to pay off previous loans.

Recently, ¹²Union Finance Minister Arun Jaitley said that loans sanctioned to companies restructured by banks worth Rs. 3,70,279 Cr. in FY 2014-15 and Rs. 2,99,111 Cr. in FY 2015-16. The amount of restructured corporate loans in the last 3 financial years came down to Rs. 2,04,884 Cr. said Mr. Jaitley, of which the article published in Indian Express on August 2017. Any restructuring is to be carried out in accordance with detailed guidelines issued by RBI on restructuring like Joint Lenders Forum (JLF), Strategic Debt Restructuring (SDR) and Scheme for Sustainable Structuring of Stressed Assets (S4A). Jaitley further said that, Banks can restructure farm loans, which includes conversion of short term debt to term loan or re-schedulement or repayment time frame to such borrowers with benefit of retention of asset classification, but such is applicable only in case of natural calamities, otherwise RBI guidelines on Income Recognition and Asset Classification will be applicable.

RBI GUIDELINES FOR RESTRUCTURED LOANS

1) Corporate Debt Restructuring (CDR)

The detail guidelines issued by RBI on ¹³August 23, 2001. It was to ensure the timely and transparent mechanism of restructuring of loans for viable entities facing problems outside the purview of BIFR (Bureau of Industrial Finance & Restructuring), DRT and other legal proceedings including SICA (Sick Industrial Companies Act). The CDR mechanism is a voluntary non-statutory system based on Debtor-Creditor Agreement (DCA) and Inter-Creditor Agreement (ICA). It covers only multiple banking account, syndicate/consortium account, where all banks and institutions together have an outstanding aggregate exposure of Rs. 100 million and above, while as per RBI guidelines the minimum outstanding exposure was Rs. 20 Cr. It has Three Tier Structure:

- CDR Standing Forum
- CDR Empowered Group
- CDR Cell

¹² <http://indianexpress.com/article/business/banking-and-finance/arun-jaitley-banks-restructured-corporate-loans-worth-rs-2-04-lakh-crore-in-fy17-4777367/>

¹³ <https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=440&Mode=0>

As per RBI, the approved CDR package should be implemented within 120 days from the date of approval by CDR Empowered Group. The most important part of CDR mechanism, which is the critical element of ICA, is the provision that if 75% of Creditors agree to a debt restructuring package, the same would be binding on the remaining creditors.

As per ¹⁴CDR Master Circular Issued on 25th June 2015, banks are advised that as soon as an account is reported by any of the lenders to Central Repository of Information on Large Credits (CRILC) SMA-2 (Principle/Interest payment overdue between 61 to 90 days), the committee should be formed mandatorily called as Joint Lenders Forum (JLF) if the aggregate exposure (both fund & non-fund based) of lenders in that account is Rs. 100 Cr. and above. Such committee can also be formed even if aggregate exposure is less than Rs. 100 Cr. and /or when account is reported as SMA-0 (Principle/Interest payment overdue < 30 days) or SMA-1 (Principle/Interest payment overdue between 31 to 60 days).

As on ¹⁵Dec 2017 CDR approved total 531 no. of cases out of 656 of which aggregate debt is Rs. 4,03,353 Cr. Total 111 cases exited successfully of which aggregate debt is Rs. 84,677 Cr. Total 122 cases still live in CDR having aggregate debt is Rs. 1,33,297 Cr.

2) Strategic Debt Restructuring (SDR)

Under this scheme, the banks, who have given loans to a corporate borrower gets the right to convert the full or part of their loans into equity shares in the loan taken company. The RBI in its ¹⁶“*Framework for Revitalizing Distressed Assets in The Economy- Guidelines on Joint Lenders Forum (JLF)*” has suggested change of management as a part of restructuring of stressed assets. The circular also states that the general principle of restructuring should be that the shareholders bear the first loss rather than the debt holders. ¹⁷The scheme can also initiate JLF or CDR cell. In order to achieve change in ownership, the lenders under the JLF should collectively become the majority shareholder by conversion of their dues from borrower to equity. After the conversion, all lenders must collectively hold 51% or more of the equity share issued by the company.

As per recent estimates, SDR has been invoked in companies, cases worth Rs. 813 billion. ¹⁸Religare Institutional Research study suggests that in the next 1 year banks may end up refinancing of loans under SDR scheme worth Rs. 1.5 trillion which is 2.2% of total credit.

Equity shares acquired and held by banks under SDR scheme will be exempt from the requirement of periodic mark-to-market process (the value of a account can change depending on the conditions of the market) is the main advantage to banks under this scheme.

¹⁴ <http://www.cdrindia.org/downloads/CDR-Master%20Circular-29Apr15.pdf>

¹⁵ <http://www.cdrindia.org/pdf/CDR-Performance-December-2017.pdf>

¹⁶ <https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=8754&Mode=0#F1>

¹⁷ <https://rbi.org.in/Scripts/NotificationUser.aspx?Id=9767>

¹⁸ <http://research.religarecm.com/INDIA/India%20Banks%20-%20Sector%20Report%204Jan16.pdf>

3) Scheme for Sustainable Structuring of Stressed Asset (S4A)

It conceives the determination of sustainable debt level for stressed borrowers by separating sustainable loans from unsustainable loans and converting these into equity/quasi equity instruments. It is basically for bad loans of large projects at an inception stage. The scheme is independently carried out by an Overseeing Committee constituted by Indian Banks Association (IBA) in consultation with RBI.

The scheme is applicable for all those lenders where Aggregate Exposure is more than Rs. 500 Cr. For the applicability of scheme, the sustainable debt should not be less than 50% of the current funded liabilities. Here, the Debt Assessment procedure will be through independent Techno-Economic Viability (TEV).

As per ¹⁹RBI notification on “Scheme for Sustainable Structuring of Stressed Assets” the level of debt that can be serviced within the respective residual maturities of existing debt, from all sources based on cash flows available from the current as well as immediately prospective level of operations (not more than 6 months) so determined will be referred to as Part A and the remaining portion of aggregate debt which is treated as unsustainable debt is referred as Part B.

The Resolution Plan shall be agreed upon by a minimum of 75% of lenders by value 50% of lenders by number in the JLF/Consortium/Bank.

Asset Classification and Provisioning:

- i) Where there is a change of Promoter, the asset classification and provisioning requirement will be as per the ‘SDR Scheme’ or ‘Outside SDR’ Scheme as applicable.
- ii) Where there is no change of Promoter, asset classification as on the Reference Date will continue for a period of 90 days where Standstill clause is permitted. In case of Standard account on Reference Date, the entire outstanding debts (both part A and part B) will remain Standard subject to provisions made upfront by lenders being at least the higher 40% of the amount held in Part B or 20% of Aggregate Outstanding. For this purpose, provisions already held in the account can be reckoned.

These new guidelines of S4A are expected to be superior than SDR scheme as the entire debt need not be classified as NPAs and existing promoter/manager can also continue.

The major impact on lenders of this Scheme is that Banks have to provide for 100% of expected losses on the unsustainable portion over a period of 4 quarters, hence, these new norms will help reduced provisions substantially over a longer period of time.

¹⁹ DBR. NO. BP. BC. 103/21. 04. 132/2015-16
<https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=10446&Mode=0>

As per ²⁰ASSOCHAM study, these new guidelines will help in reducing the reported Gross NPA levels by 30-100 basic points, from the level of 7.7% as on March 2016, hence, it will follow satisfactory performance of the sustainable debt portion.

Table : 3 Loans Subjected to Restructuring and Corporate Debt Restructured for the Year 2017 as per Statistical Tables Relating to Banks in India.

RESTRUCTURING & CDR (Amount in 'Million)		
Banks	Loans subjected to Restructuring	Corporate Debt Restructured
SBI & its Associates	5,27,428	3,37,033
Nationalized Banks	14,38,275	7,94,003
Private Sector Banks	2,89,217	1,45,624
Foreign Banks	19,684	5,014

Source: RBI

ABOLITION OF ALL THESE EXISTING SCHEMES

As per ²¹RBI notification “Resolution of Stressed Assets – Revised Framework”, RBI has abolished all such provisions prevalent among banks to restructure defaulted loans and made resolution of defaults time bound of 180 days with the Insolvency and Bankruptcy Code (IBC) becoming the main tool to deal with the defaulters. The abolished provisions include Corporate Debt Restructuring (CDR), Strategic Debt Restructuring (SDR), Scheme for Sustainable Structuring of Stressed Assets (S4A) and even Joint Lenders Forum (JLF) has also been disbanded.

Accordingly, lenders shall identify incipient stress in loan accounts, immediately on default, by classifying stressed assets as Special Mention Account (SMA). If the principle or interest payment or any other amount wholly or partly overdue between 1-30 days, an account would be SMA-0, for 31-60 days SMA-1, and for 61-90 days, SMA-2 would be the categorisation. Defaulters of Rs. 5 Cr. & above will be monitored by RBI on a weekly basis through RBI’s Central Repository of Information on Large Credits (CRILC).

RBI has tightened rules as it said in the notification that, “any failure on the part of lenders in meeting the prescribed timelines or any actions by lenders with an intent to conceal the actual status of accounts or evergreen the stressed accounts, will be subjected to stringent supervisory/enforcement actions as deemed appropriate by the Reserve Bank, including, but not limited to, higher provisioning on such accounts and monetary penalties.”

²⁰ [http://www.ey.com/Publication/vwLUAssets/EY-ARCs-at-the-crossroads-of-making-a-paradigm-shift/\\$FILE/EY-ARCs-at-the-crossroads-of-making-a-paradigm-shift.pdf](http://www.ey.com/Publication/vwLUAssets/EY-ARCs-at-the-crossroads-of-making-a-paradigm-shift/$FILE/EY-ARCs-at-the-crossroads-of-making-a-paradigm-shift.pdf)

²¹ DBR.No.BP.BC.101/21.04.048/2017-18 <https://rbi.org.in/Scripts/NotificationUser.aspx?Id=11218&Mode=0>

²²The Framework further states that, Resolution Plans (RP) in case of restructuring, where aggregate exposure of lenders is Rs. 100 Cr. & above, shall require Independent Credit Evaluation (ICE) of residual debt by credit rating agencies specifically authorised by RBI. In case of aggregate exposure of lenders is Rs. 500 Cr. & above, then requires 2 such ICEs. RPs which receives RP4 or better credit opinion from 1 or 2 credit rating agencies, shall only be considered for implementation. If such RP not implemented, then account to be referred to IBC in 15 days. RPs for all such stressed assets cases of over Rs. 2000 Cr. & above must be completed within 180 days. For all other accounts having aggregate exposure is Rs. 100 Cr. & above but less than Rs. 2000 Cr., then RBI intends to announce, over a 2 year period reference dates for implementing RP to ensure calibrated, time bound resolution of all such accounts in default.

NON-PERFORMING ASSETS (NPA)

As per ²³*“Prudential Norms on Income Recognition, Asset Classification and Provisioning Pertaining to Advances Portfolio”* of RBI : An asset, including a leased asset, becomes non-performing when it ceases to generate income for the bank.

IDENTIFICATION OF NPA

- Interest &/or instalment of principle remain overdue for a period of more than 90 days in respect of term loan,
- The account remains ‘out of order’ for a period of more than 90 days, in respect of an Overdraft/Cash Credit (OD/CC),
- The bill remains overdue for a period of more than 90 days in the case of bills purchased and discounted,
- Interest &/or instalment of principal remain overdue for 2 crop seasons for short duration crops, and 1 for long duration crops,
- The amount liquidity facility remains outstanding for more than 90 days, in respect of securitization transaction undertaken in terms of guidelines on securitization dated Feb 1, 2016.
- In respect derivation transactions, the overdue receivables representing positive mark-to-market value of a derivative contract, if these remains unpaid for a period of 90 days from the specified due date of payment.

ASSET CLASSIFICATION

- Substandard Assets : An asset remained NPA for a period $\leq$ 12 months.
- Doubtful Assets : An asset remained substandard for a period of 12 months.

²²The notification states that, these guidelines are issued in exercise of powers conferred under Sec 35A, 35AA and 35AB of Banking Regulation Act, 1949; and Sec 45(L) of the Reserve Bank of India Act, 1934. <https://economictimes.indiatimes.com/news/economy/policy/rbi-withdraws-cdr-sdr-s4a-jlf-schemes-to-restructure-defaulted-loans/articleshow/62891543.cms>

²³ www.rbi.org.in/scripts/BS_ViewMasCirculardetails.aspx?id=9908#5a

- **Loss Assets :** An asset considered as uncollectible and of such little value that its continuance as a bankable asset is not warranted although there may be some salvage or recovery value.

Table 4 : Movement of NPAs of Scheduled Commercial Banks as per Statistical Tables Relating to Banks in India.

NPAs OF SCHEDULED COMMERCIAL BANKS (Amount in ‘Million)		
Banks	As on 31st March 2017	
	Gross NPAs	Net NPAs
SBI & its Associates	17,78,106	9,69,322
Nationalized Banks	50,69,213	28,61,567
Private Sector Banks	9,32,092	4,77,802
Foreign Banks	1,36,291	21,406
Small Finance Banks	2,205	1,147

Source: RBI

The Gross NPA ratio of Scheduled Commercial Banks increased from 9.6% to 10.2% between March 2017 and Sep 2017, stated by ²⁴Economic Survey 2017-18. It further states that, IBC mechanism is being used actively to resolve the NPA problem of banking sector. A major factor behind the effectiveness of the new CODE has been the adjudication by the Judiciary. The Code prescribes strict time limits for various procedures under it. In this process, a rich case-law has evolved, reducing future legal uncertainty.

Table 5 : ²⁵Provisioning Norms of RBI

Category of Advances	Revised Rates %
Standard Advances	
a) Direct advances to agricultural and SME	0.25
b) Advances to commercial real estate (CRE) sector	1.00
c) Advances to CRE – Residential housing sector	0.75
d) All other loans & advances not included in (a) and (b) above	0.40
Substandard Advances	
a) Secured exposures	15
b) Unsecured exposures	25
c) Unsecured exposures in respect of Infrastructure loan accounts where certain safeguards such as escrow accounts are available.	20
Doubtful Advances – Unsecured Portion	100
Doubtful Advances – Secured Portion	
a) For doubtful up to 1 year	25
b) For doubtful > 1 year and up to 3 years	40
c) For doubtful > 3 years	100
Loss Advances	100

²⁴ <http://pib.nic.in/newsite/PrintRelease.aspx?relid=175973>

²⁵ www.rbi.org.in/scripts/BS_ViewMasCirculardetails.aspx?id=9908#5a

REVIEW OF LITERATURE

Stressed Assets have increased exponentially in the Indian Financial System in the last few years. This arise the need for more study and analysis for the same. Here are some systematic reviews of available literature of many Scholars, Researchers, Bank groups or organisations.

Abhilasha Kumari & Jasleen Kaur Bindra(2016) in ²⁶*“A new perspective on dealing with stressed assets in India”* concludes that the distress can be in the form of asset class, geographic, industry and size, etc. Such premature warning or signals should be useful for putting in place an operative, effective and preventive asset quality management structure, including a transparent restructuring framework for viable books of account under distress within the predominant regulatory framework, for preserving the financial value of those entities in all segments. **Shraddha Kokane & Dr. Shriram Nerlekar(2017) in** ²⁷*“Recapitalization of Public Sector Banks – Will it reduce the Non-Performing Asset levels?”* states that The infusion of capital will helps banks over their declining NPAs. With increased capital in the balance sheet the toxic assets will be equally balanced out. (*Recapitalization is a type of reorganisation involving substantial change in company's capital structure. It usually replaces the large part of equity with debt or vice versa.*). **Dr. Madan Lal Bhasin(2017) in** ²⁸*“Galloping Non-Performing Assets bringing a stress on India's Banking Sector: An Empirical Study of an Asian Country”* said that as per the analysis of findings, banks which have minimal exposure to corporate loans (high retail loans), have the least NPAs. It further concludes that NPA growth needs to be supported with a higher level of provisioning, which in turn has a direct impact on bottom-line. It states that NPA can be reduced by better information dissemination on the NPAs especially on those who are wilful defaulters or have very large debt overhang. **Charan Singh & JagvinderSingh Brar(2016) in** ²⁹*“Stressed Assets and Banking in India”* recommends that to attract best talent available in the banking industry to serve Top management positions in PSBs, 4 things need to be addressed. 1st is tenure of Chairman or MD, government could consider long tenure of 5 years, based on strict performance evaluation criteria. 2nd is retirement age of 60 years could be considered as extending as already in private sector banks. 3rd is remuneration has to be commensurate with the position. 4th is after meeting international standards of selection, the government should set steep performance benchmarks & undertake strict performance appraisals. **Charan Singh, Deepanshu Pattanayak, Divyesh Satishkumar Dixit, Kiran Antony, Mohit Agarwala, Ravi Kant, S Mukunda, Siddharth Nayak, Suryaansh Makked, Tamanna Singh, Vipul Mathur(2016) in** ³⁰*“Frauds in the Indian Banking Industry”* conclude that frauds may be primarily due to lack of adequate supervision of top management, faulty incentive mechanism in place for employees; collusion between the staff, corporate borrowers and third party agencies; weak regulatory system; lack of appropriate tools & technologies in place to detect early warning

²⁶ <https://www.onlinejournal.in/IJIRV2I11/058.pdf>

²⁷ [http://www.iosrjournals.org/iosr-jef/papers/\(SIFICO\)-2017/Volume-1/12.%2084-91.pdf](http://www.iosrjournals.org/iosr-jef/papers/(SIFICO)-2017/Volume-1/12.%2084-91.pdf)

²⁸ <http://www.ijmsbr.com/Volume%206%20Issue%203%20Paper%201.pdf>

²⁹ <https://iimb.ac.in/research/sites/default/files/WP%20No.%20507.PDF>

³⁰ <https://iimb.ac.in/research/sites/default/files/WP%20No.%20505.pdf>

signals of a fraud; lack of awareness of bank employees and customers; & lack of coordination among different banks in India & abroad. **Dr. Madan Lal Bhasin(2017)** in ³¹ *“Integrating Corporate Governance and Forensic Accounting: A study of Asian Country”* discovered that the different types of financial and economic crimes prevailing in the Indian economy include the corporate accounting frauds, security market scams, bank frauds such as ATM/credit card frauds, checks frauds, fraudulent fund transfers, withdrawals, presentation of stolen dividend warrants, and improper granting of credit facilities, inflated contract prices, embezzlement, etc. The increasing demands in the current regulatory, legal & business environments should stimulate accounting programs to emphasize & embrace forensic accounting.

RESEARCH METHODOLOGY

The present study is organised to know various reasons of increasing stressed assets in banking industry in the last few years. The study shows various provisions and measures by government and banks and RBI for resolution of stressed assets and the considerable loopholes resulting into various frauds in banking sector.

Theoretical Research is used in this study with both qualitative and quantitative data in order to obtain proper information regarding stressed assets and NPAs of banking industry.

Data collected is secondary in nature. The source of data includes the literature published online by RBI websites, various acts, newspapers, journals including research papers and data available through bankable sources dealing with current banking scenario. The data used in the present study restricted for the period of 2013 and onwards.

The study is limited to the extent of particular period and with the fast structural changes in banking environment due to amendments in the process of laws and regulations, the results and conclusions may vary accordingly.

STRESSED ASSETS INDUSTRY IN INDIA

It looks weird to say ‘Industry’ to some kind of ‘Bad Assets’, but rising number of NPAs in banking sector in recent years arise the need for detail statistical analysis for the same. The gross NPAs of public sector and private sector banks as on Sep 2017 stood at Rs. 7,33,974 Cr. and Rs. 1,02,808 Cr. respectively.

As per ³²RBI Financial Stability Report June 2017, Public Sector Banks continued to record negative returns on their assets. Such continuous deceleration in growth of assets of

³¹ https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2912728

³² <http://www.careratings.com/upload/NewsFiles/Economics/Financial%20Stability%20Report.pdf>

Scheduled Commercial Banks along with deterioration in their asset quality resulted in declined in the share of Net Interest Income in Total Operating Income.

Table 6 : Share of Net Interest Income from the advances and Other Operating Income in the Total Operating Income of Scheduled Commercial Banks.

SHARE IN TOTAL OPERATING INCOME		
YEAR	NET INTEREST INCOME	OTHER OPERATING INCOME
Mar-13	72.0	28.0
Mar-14	71.1	28.9
Mar-15	69.5	30.5
Mar-16	69.3	30.7
Mar-17	63.8	36.2

Source: RBI

ASSET QUALITY 2014

The Gross NPAs of SCBs as a percentage of total gross advances increased to 4.5% in Sep 2014 from 4.1% in March 2014. Stressed Advances increased to 10.7% of the total advances from 10% between March & Sep 2014. Public Sector Banks continued to record the highest level of stressed advances at 12.9% of their total advances in Sep 2014 followed by Private Sector Banks at 4.4%.

³³RBI report further states that share of stressed advances in total advances increased in the case of 46 SCBs between March & Sep 2014. There are 20 banks together have 43% of the total SCBs loans and contribute around 60% of total stressed advances of the banking system. As per Report Infrastructure, Iron & Steel, Textiles, Mining (including Coal) and Aviation, had significantly higher levels of stressed assets. It had 52% of total stressed advances of all SCBs as of June 2014, whereas in case of PSBs it was 54%.

Similarly, Dec 2014 indicates that among the broad sectors, industry again continued to record the highest stressed advances ratio at 17.9% followed by services at 7.5%. However, retail sector recorded lowest stressed advances ratio at 2%. Private sector banks had the highest share of retail loans in their total loans at 27.7% as against 17.1% for PSBs.

ASSET QUALITY 2015

The ³⁴Gross NPAs of SCBs as a percentage of total gross advances increased to 4.6% from 4.5% between Sep 2014 & March 2015. Restructured Standard Advances during the period also increased, pushing up the SCBs' stressed advances to 11.1% of the total advances from 10.7%. Public Sector Banks recorded highest level of stressed assets at 13.5% of total advances as of March 2015, compared to 4.6% in case of Private Sector Banks.

³³ <https://rbi.org.in/scripts/PublicationReportDetails.aspx?UrlPage=&ID=805>

³⁴ <https://rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=831>

Gross NPAs of SCBs as a percentage of total gross advances increased to 5.1% from 4.6% between March & Sep 2015. Restructured standard advances declined to 6.2% from 6.4%, while the stressed advances increased to 11.3% from 11.1% during the same period. PSBs recorded highest level stressed assets at 14.1% followed by PVBs at 4.6% & foreign banks at 3.4%.

Similarly, June 2015 indicates that industry again continued to record highest stressed advances ratio of 19.5%, followed by services at 7%. The retail sector recorded lowest stressed advances at 2%. Five subsectors such as Mining, Iron & Steel, Textiles, Infrastructure & Aviation, which together constituted 24.2% of the total advances of SCBs as of June 2015, contributed to 53% of total stressed assets. Stressed advances in the aviation sector increased to 61% in June 2015 from 58.9% in March, while stressed advances of infrastructure sector increased to 24% from 22.9% during the same period.

As of Sep 2015, RBI Financial Stability Report shows that, 34 SCBs with 12% share in advances showed very low stressed advances ratio of less than 2%, whereas 16 banks with 27% share in advances had high stressed advances ratio of over 16%.

ASSET QUALITY 2016-2017

Table 7 : Sector wise NPA and Stressed Assets Ratio for the year 2016-2017.

STRESSED ASSETS ACROSS SECTORS (%)					
YEAR	RATIO	AGRICULTURE	INDUSTRY	SERVICES	RETAIL
Mar-16	NPA Ratio	6.0	11.9	5.8	1.8
Sep-16		6.0	15.8	6.5	2.3
Mar-17		5.4	17.7	6.0	2.0
Sep-17		6.4	19.3	5.7	2.1
Mar-16	Stressed Asset Ratio	7.4	19.4	7.7	2.1
Sep-16		7.2	22.3	8.3	2.4
Mar-17		6.3	23.0	7.0	2.1
Sep-17		6.9	23.9	6.4	2.1

Source: RBI and CareRatings Analysis

As ³⁵RBI Financial Stability Report, the Gross NPAs of SCBs sharply increased to 7.6% of gross advances from 5.1% between Sep 2015 & March 2016. Simultaneously, there is sharp reduction in restructured standard advances ratio from 6.2% to 3.9% during the same period resulted in the overall stressed advances ratio increased to 11.5% from 11.3% during the period. PSBs had highest level of stressed advances ratio at 14.5% whereas, both PVBs and Foreign Banks recorded stressed advances ratio at 4.5%.

Among major sectors, the Industry sector showed decline in the stressed advances ratio from 19.9% to 19.4% between Sep 2015 and March 2016 through Gross NPA ratio of sector increased to 11.9% from 7.3%. However, Retail loans again continued to witness least stress. Among major subsectors, the basic metal and metal products accounted for highest stressed

³⁵ <https://rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=848>

advances ratio as of March 2016 followed by Construction and Textiles. It is notable that stressed advances ratio of Infrastructure sector declined to 16.7% from 21.8% between Sep 2015 & March 2016.

Similarly, Gross NPAs ratio of SCBs increased to 9.1% from 7.8% between March & Sep 2016, pushing the overall stressed advances ratio to 12.3% from 11.5%.

As per ³⁶RBI Financial Stability Report June 2017, states that gross non-performing advances of the banking system have increased from 9.2% of total advances in Sep 2016 to 9.6% in March 2017. However, the level of stressed assets declined from 12.3% to 12% for the same time period. The decline in stressed advances ratio can be ascribed to a fall in restructured standard advances. While there is fall in stressed advances ratio in agriculture, services, and retail sectors, the stressed advances ratio in industry sector, however, rose from 22.3% to 23% mainly on account of subsectors such as cement, vehicle, mining & quarrying and basic metals.

RBI Financial Stability Report Dec 2017 showed that, the Gross NPAs of SCBs increased from 9.6% to 10.2% between March 2017 & Sep 2017, whereas their restructured standard advances ratio declined from 2.5% to 2%. The stressed advances ratio rose marginally from 12.1% to 12.2% during the same period. Gross NPAs of Public Sector Banks increased from 12.5% to 13.5% between March 2017 & Sep 2017. Stressed advances ratio of Public Sector Banks rose from 15.6% to 16.2% during the same period.

The report further states that the Gross NPAs of all Scheduled Commercial Banks increased by 18.5% on y-o-y basis in Sep 2017. Private Sector Banks have registered higher increase in Gross NPAs at 40.8% as compared to their public sector counterparts at 17%.

Table : 8 Stressed Advances Ratios of major Sub-sectors within Industry for the year 2016-2017 as per RBI Supervisory Returns.

STRESSED ASSET RATIOS ACROSS INDUSTRIES (%)				
SECTOR	Mar-16	Sep-16	Mar-17	Sep-17
Basic Metals & Metal Products (14.4%)	34.4	42.9	45.8	44.5
Construction (3.8%)	27.1	27.9	24.5	26.7
Textiles (7.3%)	21.3	21.7	27.5	23.7
Food Processing (5.7%)	17.7	20.0	21.4	24.9
Mining & Quarrying (1.2%)	16.3	18.7	21.1	27.1
Infrastructure (34.1%)	16.7	18.6	18.3	19.6
Engineering (5.8%)	16.5	17.8	19.4	31.0
Gems & Jewellery (2.9%)	13.2	17.6	13.0	11.7
Cement & Cement Products (2.0%)	19.0	16.0	34.6	12.8
Vehicles, Vehicle parts & transport equipments (2.9%)	13.8	15.9	25.6	21.0
Paper & Paper Products (1.2%)	16.0	15.0	22.8	23.6

³⁶ https://rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=40912

Rubber, Plastic & their Products (1.5%)	10.8	12.5	8.6	5.1
Chemicals & Chemical Products (2.0%)	11.8	11.7	8.9	8.1

Note: the number given with the subsector is its credit in total credit to industry.

Sector-wise data of RBI Reports showed that total borrowings by companies in chemical, computer, electrical machinery, hotel, iron & steel, papers, pharmaceutical, real estate, rubber & transport industries decreased during 2016-17. However, cement, construction, power, food products and textile industries showed some increase in borrowings, while automobiles and telecommunication industries showed some substantial increase in borrowings. As on March 2017 ³⁷CareRatings Analysis showed that the telecommunication industry had the largest debt with negative profitability. The industry also had relatively high leverage. Similarly, the power, construction, iron & steel industries suffered from relatively high leverage and high interest burden.

CareRatings Analysis further says that “banks are already flushed with excess liquidity, having an amount of Rs. 2,71,012 Cr. as on June 30, 2017 in term reverse repos on account of lower demand from corporates and unwillingness among banks to lend in light of increasing NPAs. As long as this number is high, the supply of credit will be subdued due to both these reasons. This will also affect their income.” Similarly, “banks are also required to provide at least 50% of the loan amount as loan loss provisioning for all the cases that are referred to the bankruptcy courts. A provisioning of 100% is also to be made for those cases that don’t get resolved in the initial mandatory period for loan restructuring. This will further put pressure on bank profitability.”

ASSOCHAM – CRISIL STUDY

The ³⁸Associated Chamber of Commerce of India and ³⁹CRISIL have recently published the study which states that Gross NPAs are expected to rise from March 2017 level of Rs. 8 lakh Cr. to 9.5 lakh Cr. as on March 31, 2018, that is, about 10.5% of Total Advances, while Stressed Assets are expected to be at Rs. 11.5 lakh Cr. This high level of stressed assets in the banking system provides major opportunities for Asset Reconstruction Companies (ARC) which plays vital role in the process of NPA resolution, said by report titled “*ARCs headed for a Structural Shift*”. The study added that with banks expected to make higher provisioning over and above the provisions made for stressed assets, they may sell the assets at lower discounts, thus increasing the capital requirement. But the existing capital base of ARCs will not support in stressed assets available in the market, they are expected to be a part of multi-platform business model with co-investors/large funds to bring in capital and stay relevant. While on the positive note, the recovery rate, which is a good indicator of the effectiveness of ARCs is expected to rise from 3.8% to 44-48%, the report said.

The Report further states that, Power, Metal and Construction Sectors contribute the bulk of stressed assets. According to the analysis of 50 Stressed Assets (forming nearly 40% of

³⁷ <http://www.careratings.com/upload/NewsFiles/Economics/Financial%20Stability%20Report.pdf>

³⁸ Assocham is one of the apex trade associations of India. The goal is to promote both domestic and international trade and reduce trade barriers while fostering conducive for growth of trade and industry of India.

³⁹ CRISIL is a global analytical company providing ratings, research and risk and policy advisory services.

stressed assets in the system), sectors like metal, construction and power form nearly 30%, 20% and 15% respectively, while the other sectors together form the remaining 30%.

LARGE BORROWERS AFFECT STRESSED ASSETS LEVELS

Credit is a continuous process. Recovery of one credit gives rise to another credit. Therefore, it presupposes right selection of borrower which needs complete and comprehensive investigation of all the facts. To arrive at a decision about selection of borrower the banker needs to collect a long chain of information about the borrower. Usual loan application forms filled in by the applicant provide the banker with almost all the required particulars pertaining to the advance. Loan proposals differ widely from each other. There cannot be a strict methodology for accepting or rejecting the proposals.⁴⁰ The top management sets the exposure limits for individual/company/industry, credit quality of the borrowers, lending rate, risk level, etc., and enable decentralised decision making by the lower level functionaries. A bank should apply due diligence and look out for the purpose of the loan, identify the primary and secondary sources of repayment, assess the business and industry risks that could inhibit repayment, and analyze the applicant's financial statement before granting a loan.

Credit Quality of large borrowers may directly affect the stressed assets levels of any bank. This further leads to fluctuation in profitability and income of the bank. A high degree of NPAs suggests the probability of a large number of credit defaults that affects the profitability and liquidity of banks. Today's increasing banking related frauds in every sector of banking industry is the biggest indication that the credit quality of borrowers plays important role in ultimate existence of banks. Credit Rating Agencies plays a vital role in such circumstances.

SHARE OF LARGE BORROWERS IN STRESSED ASSETS AND NPAs

In continuous increase in NPAs in the banking system and with a mandate of activating and coordinating the mechanism to manage stressed assets in the economy so that transparent credit information becomes available for sound risk management and financial stability, the RBI introduced a "Framework for Revitalising Distressed Assets in the Economy" in January 2014. For this the RBI set up the Central Repository of Information on Large Credits (CRILC) to collect, store, and disseminate credit data to lenders. Its main objective is to make early recognition of asset quality problems by reducing information asymmetry and helping banks to take informed credit decisions.

As per the new notification states above - Defaulters of Rs. 5 Cr. & above will be monitored by RBI on a weekly basis through RBI's Central Repository of Information on Large Credits (CRILC).

⁴⁰ Special reference of "Indian Financial System" by Dr. V. K. Jain and Dr. Parizad P. Dungore.

CREDIT QUALITY 2015

A significant increase in the Gross NPA ratio of large borrowers among Public Sector Banks from 6.1% in March 2015 to 8.1% in Sep 2015, led to an increase in the Gross NPA ratio of the banking system, while Foreign Banks Gross NPAs declined during the same period. The ⁴¹RBI report further states that, Standard assets among large borrowers declined from 86.2% of total gross advances as of March 2015 to 84.5 as of Sep 2015. Credit to top 100 large borrowers (in terms of funded amount outstanding) constituted 27.6% of the credit to all large borrowers and 17.8% of the credit of all SCBs. The share of Gross NPAs of these borrowers in total Gross NPAs of all SCBs increased sharply from 0.7% in March 2015 to 3.1% in Sep 2015.

CREDIT QUALITY 2016

Share of large borrowers in total loans increased from 56.8% to 58% between Sep 2015 and March 2016. Their share in Gross NPAs also increased from 83.4% to 86.4% during the same period. Advances to large borrowers classified as SMA-2 declined sharply by 40.5% and restructured standard advances declined by 25% between Sep 2015 and March 2016, simultaneously pushing up their Gross NPAs by 66.3%. Advances to large borrowers classified as SMA-1 (early signs of stress in asset quality) increased sharply by 35.1% between Sep 2015 and March 2016. Gross NPA ratio of large borrowers increased sharply from 7% to 10.6% during Sep 2015 to March 2016, where PSBs recorded highest Gross NPA ratio at 12.9%, while SMA-2 ratio of large borrowers declined across the bank groups during the same period.

Similarly, ⁴²Dec 2016 data of RBI states that the share of SMA-2 increased across the bank groups. The share of large borrowers in SCBs total loan portfolio declined between March and Sep 2016, whereas their share in Gross NPAs increased during the same period.

CREDIT QUALITY 2017

Large borrowers account for 56% of Gross advances and 86.5% of Gross NPAs of SCBs, whereas top 100 large exposure account for 15.2% of Gross advances. NPA within top 100 exposures contribute to 25.6% of Gross NPAs of SCBs. While the level of Gross NPAs of large borrowers increased between Sep 2016 and March 2017, their restructured standard advances declined during the same period resulting in reduction of total stressed advances by 1.8%. Similarly, SMA-2 as percentage of gross advances also declined across bank groups. Moreover, the share of large borrowers in SCBs total loans as well as Gross NPAs showed reduction between Sep 2016 and March 2017.

Similarly, the data of Dec 2017 showed that, the share of large borrowers both in total SCBs loans as well as Gross NPAs declined between March and Sep 2017. However, the total stressed advances of large borrowers increased by 2.4% between March & Sep 2017. SMA-2

⁴¹ <https://rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=831>

⁴² <https://rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=848>

accounts also increased sharply by 56.5% during the same period. Gross NPAs ratio of large borrowers increased from 14.6% to 15.5% between March and Sep 2017. Such went up for both PSBs and PVBs but came down for Foreign Banks.

The share of standard advances (excluding restructured standard advances) in total funded amount of outstanding of large borrowers declined from 80.9% to 80.6% between March & Sep 2017. The top 100 large borrowers accounted for 15.5% of credit and 25% of Gross NPAs of SCBs.

Table : 9 Share of Large borrowers in Scheduled Commercial Banks loan portfolio for the period 2015-2016-2017.

LARGE BORROWERS SHARE IN NPAs (%)		
YEAR	GROSS ADVANCES	GROSS NPAs
Mar-15	58.1	72.8
Sep-15	56.8	83.4
Mar-16	58.0	86.4
Sep-16	56.5	88.4
Mar-17	56.0	86.5
Sep-17	55.7	83.4

Source : RBI Supervisory Returns

FRAUDS IN BANKING SECTOR

Multiple banking is an arrangement, where a borrower avails of finance independently from more than one bank. Thus, there is no contractual relationship between various bankers. Also in such arrangements, each banker is free to do his own credit assessment and hold security independent of other bankers. But with the loopholes in multiple banking arrangements adversely impacting their books, commercial banks now want a consortium to be made mandatory for large corporate credit, *said by ⁴³ the article published in “BUSINESS STANDARD” titled “Banks want compulsory consortium arrangement for large credit” on Jan 2015..* Article states that as per bankers, guidelines issued by RBI on sharing of information had failed to bring desired discipline in multiple banking arrangements. Under consortium financing, several banks (or financial institutions) finance a borrower with common appraisal, common documentation, joint supervision and follow - up exercises.

The article further said that as per a senior executive of PSB, absence of security sharing, monitoring end use of funds and coordination among the lenders under multiple banking allowed borrowers to play with credit discipline. Even the facilities sanctioned against exclusive securities impact the cash flow of the borrower and result in serious irregularities, including frauds leading to NPAs. It said that IBA (Indian Banking Association) in a communication to RBI said there was a need to review the cash credit mechanism, especially the large limits, which pose a serious liquidity challenge to banks due to sudden large

⁴³ http://www.business-standard.com/article/finance/banks-want-compulsory-consortium-arrangement-for-large-credit-115010500491_1.html

withdrawals. *One solution being recommended to deal with such challenge is to convert 50% of a large credit facility through working capital component of short term duration. The cash credit component could carry interest rate commensurate with credit rating while working capital would have commitment fee subject to rules, IBA said.*

RBI has informed that as per Fraud Monitoring Reports submitted by the SCBs and select financial institutions, the amount lost on account of frauds during 2016-2017 was Rs. 16,789 Cr., said *Minister of State for Finance Shiv Pratap Shukla* in a written reply, as per the news published by ⁴⁴*The Economic Times* titled “*Banks lost nearly 17000 Cr. to frauds last fiscal, say FinMin*” on Dec 2017. He further said in another reply that, incidents of bank robbery, theft, dacoity and burglary were reported from different parts of country during the same period which total amounts to Rs. 65.3 Cr.

A combined 5,076 cases of active banking frauds involving Rs. 1 lakh or more causing losses of Rs. 16,78,853 lakh were reported by 76 banks during 2016-2017, parliament was informed, as per the news published in ⁴⁵*The Economic Times* titled “*76 Banks report 5,076 cases of active banking frauds*” on Jul 2017. In the written reply to *Rajya Sabha Minister of State for Finance Santosh Kumar Gangwar* said SBI reported 544 cases of such frauds that caused a loss of Rs. 1,91,295 lakh. While 688 cases causing loss of Rs. 36,844 lakh reported by ICICI bank.

In all, 450 employees were involved in fraud cases in different public and private sector banks during just April – December 2016 in 3,870 cases involving a total value of Rs. 17,750.27 Cr., as per the ⁴⁶*Times of India* news titled “*ICICI Bank, SBI, StanChart top bank frauds list: RBI*” published on March 2017.

Recently, the India’s second largest state owned lender *Punjab National Bank* disclosed on Feb 14, 2018 that it was the victim of the country’s largest bank fraud. It disclosed amount over Rs. 11,000 Cr. fraud allegedly by one of the country’s *richest men, diamantaire Nirav Modi*. In its first complaint PNB alleged that the fraud was led by Modi, a jeweller who’s no. 85 on Forbes’s 2017 list of India’s richest people. It said that Modi was helped by a former PNB employee, *Gokulnath Shetty*, who was the deputy general manager of Foreign Exchange department in one of its branches in Mumbai. As per the ⁴⁷*Bloomberg* in 2011 PNB employee starts allegedly providing fraudulent letters of understanding to Modi and associates. In Feb 2016 hackers make off \$81 million by sending fake messages through the Bangladesh Bank’s ⁴⁸Swift interbank messaging system. In August 2016 RBI sends a circular to all Indian

⁴⁴ <https://economictimes.indiatimes.com/industry/banking/finance/banking/banks-lost-nearly-rs-17000-crore-to-frauds-last-fiscal-says-finmin/articleshow/62208724.cms>

⁴⁵ <https://economictimes.indiatimes.com/industry/banking/finance/banking/76-banks-report-5076-cases-of-active-banking-frauds/articleshow/59758245.cms>

⁴⁶ <https://timesofindia.indiatimes.com/business/india-business/icici-bank-sbi-stanchart-top-bank-frauds-list-rbi/articleshow/57604586.cms>

⁴⁷ <https://www.bloomberquint.com/pnb-fraud/2018/02/21/timeline-to-the-discovery-of-india-s-biggest-ever-bank-fraud>

⁴⁸ SWIFT means “society for the world wide interbank financial telecommunication”. It provides a network that enables financial institutions worldwide to send and receive information about financial transactions in a secure, standardized and reliable environment.

lenders, advising them to make sure their internal software – core banking solution or CBS – is properly integrated with Swift. In Nov 2016 RBI issues stronger circular, citing “decentralised” operations that hinder compliance and a “high number” of Swift user Ids at banks that increased the risk of misuse, according to a document seen by *Bloomberg*. RBI ask banks to “explore” straight through processing of CBS and Swift. In 28 Feb 2017, Banks were due to complete an RBI mandated verification of all their Swift messages, especially those pertaining to trade finance, to ensure all were “supported by genuine underlying transactions”, according to a document seen by *Bloomberg*. In March 15, 2017 Banks were due to report the results of this verification to RBI. In May 2017 PNB employee who was allegedly colluding with Modi retires. In Jan 16, 2018 PNB alleges that billionaire jeweller *Nirav Modi* associates sought fresh funds from PNB; PNB begins digging into transaction history. In Jan 25, 2018 PNB says it found first evidence of fraud. It tells customers that it will immediately start updating its CBS to the latest version, which will be used starting Jan 29. In Jan 29, 2018 PNB submits report on fraud to RBI and files complaint with federal investigators. In Feb 14, 2018 PNB disclose \$1.8 billion fraud (over Rs. 11,000 Cr.). in Feb 15, 2018 RBI tells banks to revisit controls outlined in 2016 advisories, according to document seen by *Bloomberg*. In Feb 21, 2018 banks due to report to RBI on implementation of these controls, according to document seen by ⁴⁹*Bloomberg*.

Recently, ⁵⁰ RBI Governor, Urjit R. Patel give a speech on “Inaugural lecture: Centre for Law & Economics, Centre for Banking & Financial Laws, Gujarat National Law University, Gandhinagar”

He said that In 2017 *Financial Sector Assessment Programme* of India (FSAP), International Monetary Fund (IMF) & World Bank (WB) observes that :

- 1) RBI has made substantial progress in strengthening banking supervision: A key achievement was the introduction in 2013 of risk - based supervision through a comprehensive and forward - looking Supervisory Program for Assessment of Risk and Capital (SPARC). The Basel III framework and other international guidance were implemented or are being phased in, including stricter regulations on large exposures. Domestic and cross - border cooperation arrangements are now firmly in place. The AQR (Asset Quality Review) and the strengthening of regulations in 2015 have improved distressed asset recognition. In April 2017, the RBI established a new Enforcement Department and revised its prompt corrective action framework to incorporate more prudent risk - tolerance thresholds.
- 2) The internal control regulations issued by the RBI are adequate and are supported by the requirements of the SPARC risk – based supervision system. This system provides extensive guidelines for inspection of the internal control and audit function, & prescribes that a bank’s internal controls allow identification and controlling of risks. The Internal Audit Departments in banks are required to have appropriate resources and staff with the requisite skills. Tasks can be outsourced, allowing additional

⁴⁹ Bloomberg L.P. is a privately held financial software, data and media company headquartered in Midtown Manhattan, New York City.

⁵⁰ https://rbi.org.in/Scripts/BS_ViewSpeeches.aspx

expertise to be brought in. The auditors reported that overall experience with the quality of internal audit of banks was satisfactory.

However, FSAP for India laments at several points such as :

RBI's legal powers to supervise and regulate PSBs are also constrained – it cannot remove PSB directors or management, who are appointed by the Government of India, nor can it force a merger or trigger the liquidation of PSBs etc. Similarly, Under the law and according to custom, the RBI cannot hold PSB Boards accountable for assessing and – when necessary – replacing weak and nonperforming senior management and government appointed board members.

He further said that in case of banks, three potentially powerful mechanisms could induce discipline against frauds such as (a) Investigative/vigilance/legal deterrence (b) Market Discipline (c) Regulatory Disciplines.

The Governor clearly states that RBI Financial Stability Report of June 2017 clarifies that there is a link between bank frauds and stressed assets problems in banking sector :

“Share of frauds in advances portfolio continued to be high at 86% of the frauds reported during 2016-2017 (in terms of amount involved)...In a number of large value frauds, serious gaps in credit underwriting standards were evident. Some of the often seen gaps are liberal cash flow projection at the proposal stage, lack of continuous monitoring of cash flows and cash profits (EBITDA), lack of security perfection and over valuation, gold plating of projects, diversion of funds, double financing and general credit governance issues in banks. **Moreover, almost all corporate loans related fraud cases get seasoned for 2 to 3 years as NPAs before they are reported as fraud. The broad conclusion that have been universally reached is that enterprises in India have over and over again received excessive credit during loan growth cycles, which is followed soon after with repayment problems.**

For the Resolution of such debt RBI has taken steps over the last year in this direction, with a focus on reference to the IBC of certain large value stressed accounts, covering approximately 40% of banking sector's overall exposure to the stressed assets. The Revised Framework for Resolution of Stressed Assets released by RBI on Feb 12, 2018 is definitely a welcoming step for fighting of such headache of banks.

Similarly as like RBI, Government of India also recently took measures for stress in banking sector.

RECENT MEASURES TAKEN BY GOVERNMENT OF INDIA

As the ⁵¹RBI Financial Stability Report published on June 2016, The Government has taken many initiatives to expedite recovery of bad loans. The initiatives include establishment of 6 new Debt Recovery Tribunals (DRTs). In case of distressed steel sector, import duty for steel

⁵¹ <https://rbi.org.in/Scripts/PublicationReportDetails.aspx?UrlPage=&ID=848>

products was increased, additional safeguard duty was imposed and a minimum import price was stipulated. In addition, auction of long term coal linkages is being envisaged. In order to address the issue of stalled projects in the case of road sector, provisions were made to substitute 'concessionaire' at the instance of lenders through approval by National Highways Authority of India (NHAI) to provide exit even during construction period. Concessionaires were also permitted to divest 100 % of equity 2 years after commercial operational date (COD). Further NHAI would intervene one time fund infusion in languishing projects affected by lack of funds so that they can be completed. NHAI has also approved premium recast of several distressed road projects. New structures such as Hybrid Annuity Model and Toll-Operate-Transfer Model are being tried besides facilitating project implementations by de-linking of statutory clearances such as environmental/forecast clearance. For the power sector, a scheme to strengthen the financial and operational aspects of distribution companies (Discoms) was introduced. The scheme envisages take-over of 75% of the debt of Discoms by the respective state governments. Besides improving the process of providing coal linkages and auctioning of coal blocks, the government has also started auctioning re-gasified liquefied natural gas (RLNG) along with providing support through power system development fund (PSDF) to stranded gas – based power projects. An 'Amended Technology Up-gradation Fund Scheme' has been envisaged to provide one time capital subsidy for investments in the employment and technology intensive segments of the textile value chain to deal with issues relating to textile industry.

CONCLUSIONS AND SUGGESTIONS

The best indicator for the health of Indian Banking is not only the level of Stressed Assets and NPAs but how the Government and the Apex Banking institutions take steps to resolve it. Stressed Accounts strongly affects the profitability of banks and thereby overall operations and performance. But, the enthusiastic approach of banks to increase lending for the task of maintaining/increasing credit levels to fuel GDP growth showed compromise on asset quality and banks were running under loss of profit due to provisions. Similarly, it is important to note that elimination of Stressed assets from the books of banks is not an easy task because credit risks cannot be fully eliminated from the books of business performing trade of financial services. If there is credit risk then there must be some kind positive and negative both factors must be available to manage such risk. The important point is banking regulators cannot perform whole job of resolution in case of any problem whether about stressed accounts or if such accounts reported as fraud without having the 100 % authority to on ownership in case matter. As the Governor of RBI says banks operational risk management, risk culture, internal control frameworks, and external audit function should typically play a central role in preventing fraud. However, as per study we can say that some measures and revolutionary steps by both government and RBI must be appreciated fully such as:

- Implementation of Special Mention Accounts (SMA) norms for early identification of stressed assets.
- Last year, the Central bank allowed the banks to sell even the loans where the principle or interest was overdue 60 days rather than 90 days.

- Abolition of old norms and establishment of strict IBC scheme and extension of defaults time bound from 90 days to 180 days.
- Revised framework provides strict time limit on Central Repository of Information of Large Credits. Such continuous information monitoring and providing system and tagging individuals and companies as wilful defaulter would help in creating a strong network in preventing fraud and thereby controlling stress in banks.

On the negative side, as per the country's biggest fraud recently disclosed by PNB, just two employees directly used SWIFT – the global financial messaging service used to move million of dollars across borders every hour and bypassed the Core Banking System which processes daily banking transactions. This failure of system rang the doorbell to take immediate steps to give some major power to Apex banks on corporate structural and hierarchical front.

Further, as Charan Singh and Jagvinder Singh Brar (2016) said that there is need to undertake extensive research on why stressed assets are rising in selected Public Sector Banks. In a diverse country like India, with different climatic zones, cultural and occupational structures, banking habits differ. Therefore, a segmented and focused study on different banks and regions is probably, necessary. Illustratively, literacy levels and general attitude helps to determine the choice between saving and term deposits. In banks, dominating in North India, generally, level of saving accounts in relation to term deposits are generally large as compared to the trend in South India. Similarly, banks with generally have a wider retail base have not recorded higher stressed assets unlike banks which have significant exposure to corporates. But building a retail base requires a detail skill sets than extending large loans to select corporates.

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